

capital expenditure allocation, and on separating the Railway Budget from general finances.

Separating the finances

The second committee chaired by Sir James Mackay or Lord Inchcape, a colonial administrator, examined efficient ways to increase revenue and reduce railway expenditure. The sweeping changes that followed the formation of these committees served to revitalize railway finances over the next few years. Following the Railway Finance Committee's approval in 1922, Legislative Assembly members allocated Rs 150 crores, to be spent over five years, for the rehabilitation of overaged and stressed railway assets. They passed the resolution to separate railway finances from the General Budget in September 1924 in what is now known as the Separation Convention. As the sole shareholder of the railways, the Government became entitled to a fixed contribution from the profits of the railways as a dividend, in return for the capital employed.